



Bill Number: S.B. 1137

Kavanagh Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Adds the local jurisdiction to the list of entities involved in the large project coordination meeting.
2. Specifies that an excavator, before submitting a location request, rather than an excavation notice, must meet the white lining requirements.
3. Requires an excavator to clearly and carefully, rather than only clearly, mark with white lining an area that is requested to be excavated.
4. Specifies that the white lining may be in compliance with a color code that is established by custom and standard, rather than by applicable custom and standard.
5. Clarifies that the white lining requirements apply to large projects and excavations on residential properties, except on a single-family resident property, regardless if by persons who are employed by the homeowner or the occupant of the residential property.
6. Specifies that the large project meeting is expected to:
 - a) discuss, rather than evaluate, any potential underground facility conflicts; and
 - b) establish a marking and excavation schedule, rather than a marking schedule.
7. Specifies that the underground facilities operator must, on receipt of the large project notification:
 - a) discuss any potential conflicts, rather than identify any excepted conflicts, related to the underground facilities that may occur within the complete geographic scope of the large project; and
 - b) determine the expected time frames that are necessary to complete markings.
8. Removes the requirement for the large project coordination meeting to establish a schedule for remarking and other protective measures that are appropriate to the scope of duration of the large project.
9. Requires the local jurisdiction's public works or utility inspector to also agree on the quantities of tickets and the geographic area that tickets will cover.
10. Removes the applicability of the validity period for the ticket refresh procedures to both large project tickets and standard excavation tickets.
11. States that the underground facilities statutes do not supersede or preempt any ordinance, standard, policy, procedure or other requirements of a city or town that relates to excavations.
12. Modifies the definition of *large project*.
13. Makes technical and conforming changes.

Amendment explanation prepared by Nicholas Gustoff

2/20/2026

KAVANAGH FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1137
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 40-360.21, Arizona Revised Statutes, is amended
3 to read:

4 40-360.21. Definitions

5 In this article, unless the context otherwise requires:

6 1. "Abandoned" means no longer in service and physically
7 disconnected from a portion of the facility, or from any other facility,
8 that is in use or still carries service.

9 2. "Apartment community" means any real property that has one or
10 more structures and THAT contains five or more dwelling units for rent or
11 lease that are subject to title 33, chapter 10. For the purposes of this
12 paragraph, "dwelling unit" has the same meaning prescribed in section
13 33-1310.

14 3. "Building official" means the agency or officer employed by a
15 political subdivision of this state and charged with the administration
16 and enforcement of a building code to regulate the quality, type of
17 material and workmanship of construction of buildings or structures.

18 4. "Careful and prudent manner" means conducting an excavation in
19 such a way that when the excavation is less than or equal to twenty-four
20 inches from an underground facility that is marked with stakes or paint or
21 in some customary manner, the facility is carefully exposed with hand
22 tools, and the uncovered facility is supported and protected.

23 5. "Carefully" means acting with reasonable care under the
24 circumstances.

25 6. "Cross culverts or similar roadway drainage facilities" means
26 transverse drainage structures with both ends or openings visible
27 including box culverts, drainage pipes or other covered structures.

1 7. "Detectible underground location device" means any device that
2 is installed underground and that is capable of being detected from above
3 ground with an electronic locating device.

4 8. "Excavation" means any operation in which earth, rock or other
5 material in the ground is moved, removed or otherwise displaced by means
6 or use of any tools, equipment or explosives and includes, without
7 limitation, grading, trenching, digging, ditching, drilling, augering,
8 boring, tunnelling, scraping, cable or pipe plowing and driving.

9 ~~12.~~ 9. "Homeowners' association" has the same meaning prescribed
10 in section 33-2001.

11 ~~9.~~ 10. "Implied easement" means any easement or right-of-way on
12 private property required to provide utility services by means of
13 underground facilities in property of the owner requesting such service.

14 ~~10.~~ 11. "Inactive" means:

15 (a) That portion of an underground facility that is not in use but
16 is still connected to the facility, or to any other facility, that is in
17 use or still carries service.

18 (b) A new underground facility that has not been connected to any
19 portion of an existing facility.

20 ~~11.~~ 12. "Installation records of an underground facility" means
21 maps, drawings, diagrams, surveys, schematics, illustrations, sketches or
22 any other depictions or descriptions of an underground facility that
23 reflect the location at the time of installation of the underground
24 facility and any surface extensions in a reasonably accurate manner.

25 13. "INTERACTIVE POSITIVE RESPONSE SYSTEM" MEANS AN ELECTRONIC
26 INTERNET-BASED PLATFORM THAT IS ADMINISTERED BY A ONE-CALL NOTIFICATION
27 CENTER AND THAT ENABLES EXCAVATORS AND UNDERGROUND FACILITIES OPERATORS TO
28 EXCHANGE, RECORD AND VERIFY RESPONSES AND LOCATE STATUS UPDATES AND OTHER
29 REQUIRED COMMUNICATIONS.

30 ~~13.~~ 14. "Landlord" has the same meaning prescribed in section
31 33-1310 for an apartment community and has the same meaning prescribed in
32 section 33-1409 for a mobile home park.

33 15. "LARGE PROJECT":

34 (a) MEANS AN EXCAVATION ACTIVITY THAT MEETS ONE OR MORE OF THE
35 FOLLOWING CRITERIA:

36 (i) THE OVERALL PROJECT LENGTH EXCEEDS ONE MILE OF LINEAR
37 EXCAVATION OR A POLYGON WITH AN AREA OF A QUARTER SQUARE MILE OR MORE.

38 (ii) THE PROJECT DURATION IS EXPECTED TO EXCEED NINETY CALENDAR
39 DAYS.

40 (iii) THE PROJECT INCLUDES ~~[MORE THAN]~~ [AT LEAST] TEN ~~[ADJACENT]~~
41 [CONTIGUOUS] LAND PARCELS~~[, RIGHTS-OF-WAY OR EASEMENTS]~~.

42 (b) DOES NOT INCLUDE THE ON-SITE DEVELOPMENT OF A NEW RESIDENTIAL
43 OR COMMERCIAL PROJECT ON A PREVIOUSLY UNDEVELOPED PARCEL OF LAND.

44 16. "LARGE PROJECT NOTIFICATION" MEANS A NOTICE THAT IS FILED WITH
45 A ONE-CALL NOTIFICATION CENTER FOR A LARGE PROJECT.

46 ~~14.~~ 17. "Locator strip" means a type of detectible underground
47 location device that consists of a plastic or other durable material

1 ribbon containing a material capable of being detected from above ground
2 with an electronic locating device and color coded by type of underground
3 facility.

4 ~~15.~~ 18. "Locator wire" means a type of detectible underground
5 location device that consists of a copper wire or metallic, conductive,
6 noncorrosive trace wire capable of being detected from above ground with
7 an electronic locating device.

8 ~~16.~~ 19. "Mobile home park" has the same meaning prescribed in
9 section 33-1409.

10 ~~17.~~ 20. "One-call notification center" means an organization of
11 owners or operators of underground facilities that provides a ~~telephone~~
12 ~~number~~ notification service for the purpose of receiving and distributing
13 to its members advance notifications from persons regarding planned
14 excavations.

15 ~~18.~~ 21. "Person":

16 (a) Means any individual, firm, joint venture, partnership,
17 corporation, association, homeowners' association, municipality,
18 governmental unit, department or agency. ~~and shall include~~

19 (b) INCLUDES any trustee, receiver, assignee or personal
20 representative ~~thereof~~ OF AN ENTITY LISTED IN SUBDIVISION (a) OF THIS
21 PARAGRAPH.

22 ~~19.~~ 22. "Routine road maintenance grading" means the routine
23 grading or resurfacing of the concrete, asphaltic or composite surface but
24 not the subbase of a roadway by ~~the~~ THIS state or a political subdivision
25 of ~~the~~ THIS state for the purpose of maintaining the surface condition of
26 the road and includes recovery of material from a borrow ditch.

27 ~~20.~~ 23. "Stakes or paint or in some customary manner" means
28 marking the location of an underground facility by the colors established
29 by the commission. These colors shall be restricted to the underground
30 facility location.

31 ~~21.~~ 24. "Underground facilities operator" means a public utility,
32 municipal corporation, landlord or other person having the right to bury
33 underground facilities in any public street, alley, right-of-way dedicated
34 to the public use or public utility easement, in any apartment community
35 or mobile home park or pursuant to any express or implied private property
36 easement. Underground facilities operator does not include a homeowner or
37 homeowners' association that owns a sewer facility in a public street,
38 alley, right-of-way dedicated to public use or public utility easement.

39 ~~22.~~ 25. "Underground facility" means any item of personal property
40 that is buried or placed below ground for use in connection with the
41 storage or conveyance of water, sewage, electronic, telephonic or
42 telegraphic communications, electric energy, oil, gas or other substances,
43 and shall include but not be limited to pipes, sewers, conduits, cables,
44 valves, lines, wires, manholes, attachments and those portions of poles
45 and their attachments below ground except cross culverts or similar
46 roadway drainage facilities and landscape irrigation systems of two inches
47 in diameter or less.

26. "WHITE LINING" MEANS THE PRACTICE OF MARKING THE PROPOSED AREA OF EXCAVATION ON THE GROUND SURFACE USING ANY OF THE FOLLOWING:

- (a) PAINT.
- (b) FLAGS.
- (c) CHALK.
- (d) ANY OTHER METHOD THAT IS CUSTOMARILY USED.

~~23.~~ 27. "Working day" means every day excluding Saturday of each week, the fourth Friday in November, Sunday of each week and other legal holidays as prescribed in section 1-301.

Sec. 2. Section 40-360.22, Arizona Revised Statutes, is amended to read:

40-360.22. Excavations: determining location of underground facilities; providing information; excavator marking; on-site representative; validity period of markings; liability for misuse of locate requests; detectible underground locating devices; civil penalty; large project coordination

A. A person shall not make or begin any excavation in any public street, alley, right-of-way dedicated to the public use or public utility easement or in any express or implied private property utility easement or in any apartment community or mobile home park without first determining whether underground facilities will be encountered, and if so where they are located from each and every underground facilities operator and taking measures for control of the facilities in a careful and prudent manner. For all excavations in an apartment community or mobile home park, the excavator shall inform the landlord as promptly as ~~practicat~~ PRACTICABLE that the excavator intends to submit an inquiry to the landlord that will trigger the landlord's obligations provided by subsection B of this section and the inquiry itself shall be made by certified mail to the landlord, using a form prepared by a one-call notification center. The inquiry to a landlord may be made by a one-call notification center for a reasonable fee to the excavator.

B. Except as otherwise provided in this subsection ~~OR SUBSECTION R OF THIS SECTION~~, ~~upon~~ ON receipt of the excavator's inquiry, the underground facilities operator shall respond as promptly as ~~practicat~~ PRACTICABLE, but ~~in no event~~ NOT later than two working days, by carefully marking ~~[such]~~ [THE UNDERGROUND] facility with stakes or paint or in some customary manner. A landlord shall respond in the same manner and as promptly as ~~practicat~~ PRACTICABLE, but ~~in no event~~ NOT later than ten working days. ~~No~~ A person ~~shall~~ MAY NOT begin excavating before the location and marking are complete or the excavator is notified that marking is unnecessary. If the excavator consents, an underground facilities operator may notify a one-call notification center that marking is unnecessary pursuant to a method established by the one-call notification center. An underground facilities operator may assign any marking or notification obligations required by this subsection to an

1 agent or servant of the underground facilities operator. An underground
2 facilities operator ~~may~~ **SHALL** notify the excavator that marking is
3 unnecessary pursuant to ~~any mutually agreeable method~~ **THE INTERACTIVE**
4 **POSITIVE RESPONSE SYSTEM.**

5 ~~C. On a timely request by the underground facilities operator, the~~
6 ~~excavator shall mark the boundaries of the area requested to be excavated~~
7 ~~in accordance with a color code designated by the commission or by~~
8 ~~applicable custom or standard in the industry. A request under this~~
9 ~~subsection for excavator marking does not alter any other requirement of~~
10 ~~this section.~~

11 **C. BEFORE AN [EXCAVATION NOTICE IS SUBMITTED] [EXCAVATOR SUBMITS A**
12 **LOCATION REQUEST] TO THE ONE-CALL NOTIFICATION CENTER, [AN] [THE]**
13 **EXCAVATOR SHALL CLEARLY [AND CAREFULLY] MARK WITH WHITE LINING THE AREA**
14 **THAT IS REQUESTED TO BE EXCAVATED IN COMPLIANCE WITH A COLOR CODE THAT IS**
15 **ESTABLISHED BY THE COMMISSION OR BY [APPLICABLE] CUSTOM OR STANDARD. THIS**
16 **SUBSECTION:**

17 **1. DOES NOT APPLY TO EXCAVATIONS THAT ARE PERFORMED BY A PERSON ON**
18 **[A SINGLE-FAMILY] RESIDENTIAL PROPERTY THAT IS OWNED OR OCCUPIED BY THE**
19 **PERSON.**

20 **2. EXCEPT FOR EXCAVATIONS PRESCRIBED IN PARAGRAPH 1 OF THIS**
21 **SUBSECTION, APPLIES TO ALL EXCAVATIONS, INCLUDING LARGE PROJECTS AND**
22 **EXCAVATIONS ON RESIDENTIAL PROPERTIES [THAT ARE PERFORMED BY PERSONS WHO**
23 **ARE EMPLOYED BY THE HOMEOWNER OR OCCUPANT OF THE RESIDENTIAL PROPERTY].**

24 **D. Except as provided in subsection F of this section, a person**
25 **shall not begin excavating in any apartment community or mobile home park**
26 **before the landlord has completed marking the underground facility or the**
27 **excavator is notified that marking is unnecessary. After underground**
28 **facility markings are complete or the excavator has received notice that**
29 **marking is unnecessary, an excavator shall notify the landlord if any of**
30 **the following conditions exist:**

31 **1. Visible and obvious evidence, such as pavement cuts, that would**
32 **alert a reasonable excavator to the presence of an unmarked underground**
33 **facility within the boundary of the intended area of excavation.**

34 **2. The excavator has concerns regarding the accuracy and meaning of**
35 **the marks.**

36 **3. The excavator encounters an underground facility that has not**
37 **been marked.**

38 **4. The excavator encounters an underground facility that has been**
39 **incorrectly marked or marked in the wrong location.**

40 **E. For every excavation in an apartment community or mobile home**
41 **park where the excavation method is boring:**

42 **1. Every underground facilities operator shall be notified of this**
43 **methodology.**

44 **2. The excavator shall ensure that sufficient clearance is**
45 **maintained between the bore path and any marked underground facility.**

1 3. The excavator shall visually check the drill head each time it
2 passes through potholes, entrances and exit pits, including during
3 pullback.

4 4. Each underground facilities operator shall be given a reasonable
5 opportunity to inspect its facility before and during the boring
6 operation.

7 F. If a landlord fails to respond to an excavator's request in a
8 manner required by this article, an excavator does not violate this
9 article and fulfills the standard of care of a reasonably prudent
10 excavator if the excavator complies with all of the following:

11 1. One working day before conducting the excavation, the excavator
12 notifies the landlord in writing or by fax that the excavator has
13 determined that the acts or omissions of the landlord ~~is~~ CONSTITUTE a
14 refusal to respond to an excavator's request.

15 2. The excavator investigates for the presence of visible and
16 obvious evidence that would alert a reasonable excavator to the presence
17 of an unmarked underground facility within the boundaries of the area to
18 be excavated.

19 3. The excavator carefully locates all unmarked facilities that are
20 known to exist due to the excavator's investigation performed pursuant to
21 paragraph 2 of this subsection using one of the methods listed in
22 subsection G of this section and carefully marks the facilities with
23 stakes or paint or in some customary manner. In addition, when a landlord
24 provides verbal or written information regarding the location of
25 underground facilities that are within the boundaries of the area to be
26 excavated, the excavator carefully locates all such identified facilities
27 using one of the methods listed in subsection G of this section and
28 carefully marks the facilities with stakes or paint or in some customary
29 manner.

30 4. The excavator takes measures to control all such located
31 facilities in a careful and prudent manner.

32 5. The excavator shall not excavate if the excavator receives a
33 response from the landlord that notifies or alerts the excavator to the
34 presence of a mistake or an intention by the landlord to respond in a
35 manner that is consistent with this article, even if the response will be
36 untimely. A landlord's delay, failure to respond to a location request,
37 failure to mark or other noncompliance is not excused by the excavator's
38 or landlord's compliance with this subsection.

39 G. Except as otherwise provided in this section, in performing the
40 marking required by subsection B of this section, the underground
41 facilities operator of an underground facility installed after December
42 31, 1988 in a public street, alley or right-of-way dedicated to public use
43 or public utility easement, but not including any express or implied
44 private property utility easement, shall carefully locate the facility by
45 referring to installation records of the facility that are in the
46 possession of the underground facility operator and utilizing one of the
47 following methods:

- 1 1. Vertical line or facility markers.
- 2 2. Locator strip or locator wire.
- 3 3. Signs or permanent markers.
- 4 4. Electronic or magnetic location or tracing techniques.
- 5 5. Electronic or magnetic sensors or markers.
- 6 6. Metal sensors or sensing techniques.
- 7 7. Sonar techniques.
- 8 8. Underground electrical or radio transmitters.
- 9 9. Manual location techniques, including pot-holing.
- 10 10. Surface extensions of underground facilities.
- 11 11. Any other surface or subsurface location technique that is at
- 12 least as accurate as the other marking methods in this subsection and that
- 13 is not prohibited by the commission or by federal or state law. This
- 14 paragraph does not obligate an underground facilities operator to be aware
- 15 of and utilize every surface or subsurface location technique available.
- 16 H. Except as otherwise provided in this section, for an underground
- 17 facility other than one installed after December 31, 1988, in a public
- 18 street, alley or right-of-way dedicated to public use or public utility
- 19 easement, in performing the marking required by subsection B of this
- 20 section, the underground facilities operator may refer to installation
- 21 records or other records relating to the facility to assist in locating
- 22 the facility and shall carefully locate the facility utilizing one of the
- 23 methods listed under subsection G of this section.
- 24 I. If an underground facilities operator is unable to complete the
- 25 location and marking within the time period provided by subsection B of
- 26 this section, the **UNDERGROUND** facilities operator shall satisfy the
- 27 requirements of this section by providing prompt notice of these facts to
- 28 the excavator and assigning one or more representatives to be present on
- 29 the excavation site at all pertinent times as requested by the excavator
- 30 to provide facility location services until the facilities have been
- 31 located and marked or the excavator is notified that marking is
- 32 unnecessary pursuant to any mutually agreeable method. A person that
- 33 receives notice from the underground facilities operator of these facts
- 34 shall not begin excavating before the underground facilities operator has
- 35 completed marking the underground facility or the excavator is notified
- 36 that marking is unnecessary. Except as provided in subsection J of this
- 37 section, the underground facilities operator shall bear all of its own
- 38 expenses associated with assigning representatives.
- 39 J. The marking required by subsection B of this section is valid
- 40 for fifteen working days from the date of the marking. If the excavation
- 41 will continue past the validity period of the marks as provided by this
- 42 subsection, the excavator shall notify the underground facilities operator
- 43 or an organization designated by the underground facilities operator at
- 44 least two working days before the end of the validity period. All
- 45 requests for facility markings and requests to extend the validity period
- 46 of the markings shall be for the purpose of excavating within the validity
- 47 period of the markings. An excavator that requests facility markings

1 shall limit the request to an area that can reasonably be excavated within
2 the validity period of the markings. A person who violates this
3 subsection is liable to the one-call notification center and to all
4 affected underground facilities operators for any damages proximately
5 caused by the violation, including economic loss.

6 K. ~~Nothing in~~ ~~[IN ADDITION TO]~~ ~~[NOTWITHSTANDING]~~ THE
7 PRECONSTRUCTION CONFERENCE THAT IS REQUIRED ~~[IN THE]~~ ~~[FOR A]~~ LARGE PROJECT
8 ~~[NOTIFICATION PROCESS]~~, this section ~~shall be construed to~~ DOES NOT
9 prevent an excavator and an underground facilities operator from holding a
10 preconstruction conference regarding marking and location of underground
11 facilities and entering into a mutually agreeable written schedule for
12 marking or excavating or written arrangement that may constrain the
13 excavation methods or that may provide for the delivery of installation
14 records to the excavator for the purpose of satisfying the requirements of
15 this section, except that this subsection does not eliminate the
16 excavator's obligation to notify the underground facilities operator to
17 locate and mark excavation sites under subsection B of this section based
18 on the actual construction schedule.

19 L. For abandoned and apparently abandoned underground facilities:

20 1. The underground facilities operator shall notify the excavator
21 whether the facility is active or abandoned. An inactive facility shall
22 be considered active for purposes of this subsection. This section does
23 not obligate any person to represent that an underground sewer facility in
24 any public street, alley, right-of-way dedicated to public use or public
25 utility easement is abandoned if it was installed on or before December
26 31, 2005 and it is not owned by an underground facilities operator of a
27 sewer system. This paragraph does not obligate a landlord to represent
28 that an underground facility in any apartment community or mobile home
29 park is abandoned if it was installed before January 1, 2007.

30 2. For an underground facility abandoned after December 31, 1988 or
31 covered by installation records prepared under section 40-360.30, the
32 underground facilities operator may not advise or represent to the
33 excavator that a facility or portion of a facility is abandoned unless the
34 underground facilities operator has verified, by reference to installation
35 records or by testing, that the facility or portion is actually abandoned
36 and not merely inactive. For all other abandoned or apparently abandoned
37 underground facilities, each one-call notification center shall establish
38 a method of providing personnel from an underground facilities operator
39 qualified to safely inspect and verify that the facility is abandoned or
40 active. For the purposes of this article, an underground facilities
41 operator shall not represent that an underground facility is abandoned
42 unless the facility has been verified as abandoned pursuant to this
43 subsection.

44 3. For the purposes of this article, if an excavator encounters an
45 apparently abandoned underground facility, the excavator shall not treat
46 the underground facility as abandoned until the excavator has received
47 notification that the underground facility is abandoned pursuant to

1 paragraph 1 of this subsection or has notified the underground facilities
2 operator of the apparent abandonment and has received verification of
3 abandonment pursuant to paragraph 2 of this subsection.

4 4. Each one-call notification center may establish a method for
5 reimbursing the verifying underground facilities operator for the expenses
6 incurred under paragraph 2 of this subsection. The reimbursement method
7 shall not include any charge or expense to the excavator. A landlord that
8 fails to advise or represent that an underground facility is abandoned
9 pursuant to paragraph 1 of this subsection, whose underground facility is
10 verified as abandoned pursuant to this subsection and who has not filed
11 information with a one-call notification center is liable to the one-call
12 notification center and to all affected underground facilities operators
13 and excavators for the cost of verifying abandonment together with any
14 damages, including economic loss, proximately caused by the violation.

15 M. All new and active underground facilities installed in any real
16 property after December 31, 2005 shall be installed with a detectible
17 underground location device unless the facility is capable of being
18 detected from above ground with an electronic locating device or the
19 facility is installed within single family residential property and is
20 beneath a pool, permanent pool decking that is less than forty-eight
21 inches from the pool or a permanent building. A person who violates this
22 subsection is subject to a civil penalty in an amount ~~OF not to exceed~~
23 ~~five thousand dollars~~ MORE THAN \$5,000. The building official shall
24 administer and enforce this subsection for all underground facilities
25 except those that are installed for a public utility or municipal
26 corporation. Any penalties received by the building official shall be
27 deposited in the municipality's or political subdivision's general fund,
28 as applicable. Except as required by a city, town or county building code
29 or other related code, for purposes of locating an underground facility a
30 building official or political subdivision shall not compel the
31 installation of one or more clean-outs on any underground sewer facility
32 that is owned by another person and serves one customer where any portion
33 of the underground sewer facility is in any public street, alley,
34 right-of-way dedicated to public use, private property or easement.

35 N. ~~Nothing in~~ This section ~~shall be construed as prohibiting~~ DOES
36 NOT PROHIBIT the use of warning tape, warning markers or any other warning
37 device by the underground facilities operator.

38 O. For every underground facilities operator of a sewer system:

39 1. For the purposes of this article, an underground facilities
40 operator of a sewer system is responsible for locating and carefully
41 marking the underground sewer facilities owned by another person pursuant
42 to subsection B of this section if those underground facilities are
43 installed after December 31, 2005 and are in any public street, alley,
44 right-of-way dedicated to public use or public utility easement.

1 2. In performing the marking required by this subsection, the
2 underground facilities operator of the sewer system shall carefully locate
3 the facility by referring to installation records of the facility and by
4 using one of the methods listed in subsection G of this section.

5 3. This subsection does not obligate an underground facilities
6 operator of a sewer system to locate and mark the underground sewer
7 facilities owned by another person if the customer receiving sewer service
8 from the underground sewer facility refuses to grant permission to the
9 underground facilities operator of a sewer system to access the real
10 property for the purpose of ascertaining the location of the underground
11 sewer facility in any public street, alley, right-of-way dedicated to
12 public use or public utility easement.

13 4. This subsection does not obligate an underground facilities
14 operator of a sewer system to maintain, clean or unstop underground sewer
15 facilities owned by another person.

16 P. For every landlord:

17 1. For the purposes of this article, each landlord is responsible
18 for marking the underground facilities operated by the landlord pursuant
19 to subsection B of this section. For the purposes of this paragraph,
20 "underground facilities operated by the landlord" includes every
21 underground facility that is in an apartment community or a mobile home
22 park and that:

23 (a) Discharges into an underground facility that is operated by the
24 landlord.

25 (b) Is supplied by an underground facility that is operated by the
26 landlord.

27 (c) Is not operated by a public utility or municipal corporation.

28 2. If a landlord is unable to complete the location and marking
29 within the time period provided by subsection B of this section, the
30 landlord shall satisfy its obligations in the manner provided by
31 subsection I of this section. ~~Nothing in~~ This subsection ~~shall be~~
32 ~~construed to~~ DOES NOT prevent the excavator and the landlord from entering
33 into a mutually agreeable written schedule or written arrangement for
34 satisfying the requirements of this section in the manner provided by
35 subsection K of this section.

36 3. In performing the marking required by this subsection for an
37 underground facility installed after December 31, 2006, the landlord shall
38 carefully locate the facility by referring to installation records of the
39 facility that are in the possession of the landlord and by using one of
40 the methods listed in subsection G of this section.

41 4. In performing the marking required by this subsection for an
42 underground facility installed before January 1, 2007, the landlord may
43 refer to installation records or other records relating to the facility to
44 assist in locating the facility and shall locate the facility using one of
45 the methods listed in subsection G of this section.

1 5. Subject to the availability of monies, landlords may apply for
2 grants from a grant account established for the purpose of meeting the
3 standards prescribed by this article and for the purpose of creating
4 installation records for facilities that are not required to be created or
5 maintained by this article.

6 6. Notwithstanding any other provision in this article, a landlord
7 is not liable for any costs or expenses, including damage to third
8 parties, resulting from damage to an underground sewer facility owned by
9 the landlord and located within a public right-of-way if the damage was
10 not caused by either:

11 (a) The landlord's or tenant's actions.

12 (b) The landlord's or tenant's refusal to grant access to the
13 operator of the sewer system that connects to the landlord's underground
14 sewer facility.

15 7. This article does not obligate a landlord to locate and mark a
16 facility owned by a tenant if the tenant owns the mobile home, the tenant
17 refuses to grant permission to the landlord to access the mobile home and
18 the facility cannot be located without accessing the mobile home.

19 8. Any rule, regulation, lease or agreement that purports to
20 obligate a tenant to perform the landlord's obligations required by this
21 article is against the public policy of this state and is void.

22 9. This subsection does not obligate a landlord to maintain, clean
23 or unstop underground facilities owned by another person.

24 Q. All inquiries and notices to a landlord shall be made to the
25 address on file at a one-call notification center. Notwithstanding any
26 other law, if the landlord has not filed information at the one-call
27 notification center, the excavator does not violate this article and
28 fulfills the standard of care of a reasonably prudent excavator if the
29 excavator makes the inquiry or notice to the property owner of record
30 according to the records of the county assessor in the county in which the
31 property is located.

32 R. AN EXCAVATOR THAT PROPOSES TO PERFORM A LARGE PROJECT SHALL
33 NOTIFY A ONE-CALL NOTIFICATION CENTER AS SOON AS POSSIBLE BUT NOT LESS
34 THAN FIFTEEN BUSINESS DAYS OR TWENTY-ONE CALENDAR DAYS BEFORE THE PROPOSED
35 START DATE TO SCHEDULE A LARGE PROJECT COORDINATION MEETING. THE LARGE
36 PROJECT NOTIFICATION TO A ONE-CALL NOTIFICATION CENTER INITIATES A MEETING
37 BETWEEN THE EXCAVATOR[, THE LOCAL JURISDICTION] AND THE UNDERGROUND
38 FACILITIES OPERATOR TO:

39 1. IDENTIFY THE PROPOSED PLAN FOR MARKING REQUEST NOTIFICATIONS.

40 2. ~~EVALUATE~~ DISCUSS ANY POTENTIAL UNDERGROUND FACILITY
41 CONFLICTS.

42 3. ESTABLISH A MARKING AND EXCAVATION SCHEDULE.

43 4. DISCUSS ANY OTHER PROTECTIVE MEASURES THAT ARE APPROPRIATE TO
44 THE SCOPE AND DURATION OF THE LARGE PROJECT.

45 S. AN EXCAVATOR THAT REQUESTS A LARGE PROJECT COORDINATION MEETING
46 AS PRESCRIBED IN SUBSECTION R OF THIS SECTION SHALL PROVIDE THE FOLLOWING
47 INFORMATION TO THE ONE-CALL NOTIFICATION CENTER:

- 1 1. THE TYPE OF WORK TO BE PERFORMED.
- 2 2. THE COMPLETE GEOGRAPHIC SCOPE.
- 3 3. THE PROPOSED PHASED PLAN FOR MARKING NOTIFICATIONS WITHIN THE
- 4 COMPLETE GEOGRAPHIC SCOPE OF THE LARGE PROJECT.
- 5 4. THE PROPOSED START DATE.
- 6 5. THE EXPECTED COMPLETION DATE.
- 7 6. A PROPOSED MEETING DATE, TIME AND LENGTH ~~[FOR SCHEDULING A]~~ [OF
- 8 THE LARGE PROJECTION COORDINATION] MEETING WITH THE AFFECTED UNDERGROUND
- 9 ~~[FACILITY OPERATORS]~~ [FACILITIES OPERATOR AND THE LOCAL JURISDICTION].
- 10 T. ON RECEIPT OF THE LARGE PROJECT NOTIFICATION FROM THE EXCAVATOR,
- 11 THE UNDERGROUND FACILITIES OPERATOR SHALL:
 - 12 1. CONFIRM THE UNDERGROUND FACILITIES OPERATOR'S INTENT TO ATTEND
 - 13 THE MEETING AS SOON AS POSSIBLE BUT NOT LATER THAN TWO BUSINESS DAYS AFTER
 - 14 RECEIVING THE LARGE PROJECT NOTIFICATION.
 - 15 2. ~~[IDENTIFY]~~ [DISCUSS] ANY ~~[EXPECTED]~~ [POTENTIAL] CONFLICTS
 - 16 RELATED TO THE UNDERGROUND FACILITIES THAT MAY OCCUR WITHIN THE COMPLETE
 - 17 GEOGRAPHIC SCOPE OF THE LARGE PROJECT.
 - 18 3. DETERMINE THE RESOURCES AND [EXPECTED] TIME FRAMES THAT ARE
 - 19 NECESSARY TO COMPLETE MARKINGS BASED ON THE EXCAVATOR'S PROPOSED ~~[PHASE]~~
 - 20 [PHASED] PLAN FOR MARKING NOTIFICATIONS.
 - 21 U. THE FOLLOWING APPLY TO THE LARGE PROJECT COORDINATION MEETING:
 - 22 1. THE MEETING MAY BE ON-SITE OR VIRTUAL. THE EXCAVATOR MAY
 - 23 INDICATE WHETHER THE MEETING SHOULD TAKE PLACE ON-SITE OR VIRTUALLY BASED
 - 24 ON THE DISCRETION OF THE EXCAVATOR. IF VIRTUAL, THE EXCAVATOR SHALL
 - 25 PROVIDE A LINK TO JOIN THE MEETING. IF ON-SITE, THE EXCAVATOR MAY USE THE
 - 26 MEETING TO COMPLETE WHITE LINING.
 - 27 2. AT THE MEETING, THE EXCAVATOR~~[, THE LOCAL JURISDICTION]~~ AND THE
 - 28 UNDERGROUND FACILITIES OPERATOR SHALL ESTABLISH A SCHEDULE FOR MARKING~~[,]~~
 - 29 ~~[AND] EXCAVATION[,]~~ [REMARKING AND OTHER PROTECTIVE MEASURES THAT ARE
 - 30 ~~APPROPRIATE TO]~~ [FOR] THE SCOPE AND DURATION OF THE LARGE PROJECT. THE
 - 31 EXCAVATOR~~[, THE LOCAL JURISDICTION'S PUBLIC WORKS OR UTILITY INSPECTOR]~~
 - 32 AND THE UNDERGROUND FACILITIES OPERATOR SHALL AGREE ON THE QUANTITY OF
 - 33 TICKETS AND THE GEOGRAPHIC AREA THAT THE TICKETS WILL COVER. THE
 - 34 EXCAVATOR ~~[WILL]~~ [SHALL] FOLLOW THE [PHASED] PLAN FOR TICKET CREATION THAT
 - 35 WAS AGREED TO AT THE MEETING.
 - 36 3. THE UNDERGROUND FACILITIES OPERATOR HAS FIFTEEN BUSINESS DAYS
 - 37 FROM THE DATE THE EXCAVATOR NOTIFIES THE ONE-CALL NOTIFICATION CENTER TO
 - 38 LOCATE AND MARK THE GEOGRAPHIC AREA [IDENTIFIED IN THE PHASED PLAN]. THIS
 - 39 TIME FRAME MAY BE EXTENDED IF AGREED ON BY THE EXCAVATOR IN THE
 - 40 INTERACTIVE POSITIVE RESPONSE SYSTEM.
 - 41 V. THE ONE-CALL NOTIFICATION CENTER SHALL PROVIDE THE INTERACTIVE
 - 42 POSITIVE RESPONSE SYSTEM, WHICH IS A TOOL FOR COMMUNICATION BETWEEN THE
 - 43 EXCAVATOR AND THE UNDERGROUND FACILITIES OPERATOR FOR THE STATUS OF
 - 44 LOCATING SITES, WORK UPDATES, CHANGES IN SCHEDULING AND OTHER FACTORS THAT
 - 45 MAY IMPACT THE LARGE PROJECT.
 - 46 W. THE EXCAVATOR~~[, THE LOCAL JURISDICTION]~~ AND THE UNDERGROUND
 - 47 FACILITIES OPERATOR MAY AGREE TO A PHASED MARKING SCHEDULE THAT PROVIDES

1 FOR TIMELY AND ACCURATE MARKINGS OF ACTIVE WORK AREAS AS SUBMITTED BY THE
2 EXCAVATOR WITHIN THE MARKING REQUEST. COMPLIANCE WITH AN AGREED PHASED
3 SCHEDULE IS DEEMED COMPLIANCE WITH THE NOTICE AND MARKING REQUIREMENTS OF
4 THIS ARTICLE. ANY CHANGES TO THE AGREED PHASED SCHEDULE SHALL BE
5 COMMUNICATED AND AGREED TO BY THE EXCAVATOR[, THE LOCAL JURISDICTION] AND
6 THE UNDERGROUND FACILITIES OPERATOR THROUGH THE INTERACTIVE POSITIVE
7 RESPONSE SYSTEM.

8 X. THE ONE-CALL NOTIFICATION CENTER IS RESPONSIBLE FOR DEVELOPING A
9 PROCESS FOR UNDERGROUND FACILITIES OPERATORS, EXCAVATORS AND DESIGNERS TO
10 USE THE INTERACTIVE POSITIVE RESPONSE SYSTEM TO ADMINISTER LARGE PROJECT
11 NOTIFICATIONS, INCLUDING TICKET REQUEST PROCEDURES, COORDINATION MEETING
12 STANDARDS AND RECORDKEEPING REQUIREMENTS.

13 Y. IF THE EXCAVATOR[, LOCAL JURISDICTION] AND UNDERGROUND
14 FACILITIES OPERATOR DO NOT MUTUALLY AGREE ON A MARKING SCHEDULE, THE
15 MARKINGS SHALL BE COMPLETED WITHIN FIFTEEN BUSINESS DAYS.

16 Z. THE VALIDITY PERIOD FOR THE MARKINGS [~~AND THE TICKET REFRESH~~
17 ~~PROCEDURES~~] PRESCRIBED IN SUBSECTION J OF THIS SECTION APPLIES TO BOTH
18 LARGE PROJECT TICKETS AND STANDARD EXCAVATION NOTICE TICKETS.

19 Sec. 3. Section 40-360.23, Arizona Revised Statutes, is amended to
20 read:

21 40-360.23. Conducting excavation in careful, prudent manner;
22 liability for negligence; notice; obliteration
23 of marks

24 A. Except as otherwise provided in section 40-360.28, subsection E,
25 obtaining information as required by this article does not excuse any
26 person making any excavation from doing so in a careful and prudent
27 manner, nor shall it excuse such persons from liability for any damage or
28 injury resulting from their negligence.

29 B. Except as otherwise provided in section 40-360.22, subsection D,
30 after markings have been made pursuant to section 40-360.22, an excavator
31 shall notify either the underground facilities operator or an organization
32 designated by the underground facilities operator if the excavator
33 encounters an underground facility that has not been located and marked or
34 has been marked in the wrong location.

35 C. An excavator or an underground facilities operator shall not
36 move or obliterate markings made pursuant to this article or fabricate
37 markings in an unmarked location for the purpose of concealing or avoiding
38 liability for a violation of or noncompliance with this article.

39 D. AN EXCAVATOR MAY BEGIN EXCAVATING AFTER THE EXCAVATOR CONTACTS
40 AND RECEIVES ALL OF THE AFFECTED UNDERGROUND [~~FACILITY~~] [FACILITIES]
41 OWNERS' RESPONSES THROUGH THE INTERACTIVE POSITIVE RESPONSE SYSTEM. AN
42 UNDERGROUND FACILITIES OPERATOR SHALL ENTER ALL LOCATE STATUS INFORMATION,
43 INCLUDING MARKED, NO CONFLICT OR DELAYED INTO THE INTERACTIVE POSITIVE
44 RESPONSE SYSTEM WITHIN THE TIME REQUIRED BY THIS ARTICLE. AN UNDERGROUND
45 FACILITIES OPERATOR'S DUTY TO MARK IS SATISFIED BY COMPLIANCE WITH A LARGE
46 PROJECT PLAN AS PRESCRIBED IN SECTION 40-360.22.

1 [E. NOTWITHSTANDING ANY OTHER LAW, THIS ARTICLE DOES NOT SUPERSEDE
2 OR PREEMPT ANY ORDINANCE, STANDARD, POLICY, PROCEDURE OR OTHER REQUIREMENT
3 OF A CITY OR TOWN THAT RELATES TO EXCAVATIONS.]

4 Sec. 4. Section 40-360.26, Arizona Revised Statutes, is amended to
5 read:

6 40-360.26. Damage of underground facility; liability to
7 owner; homeowner and tenant exemption

8 A. If any underground facility is damaged by any person in
9 violation of this article as a result of failing to obtain information as
10 to its location, failing to take measures for protection of the facilities
11 or failing to excavate in a careful and prudent manner, the person is
12 liable to the owner of the underground facility for the total cost of the
13 repair of the facility.

14 B. A homeowner or homeowners' association engaging in excavating in
15 an express or implied private property utility easement across property
16 owned by the homeowner or homeowners' association is not liable to the
17 owner or operator of the underground facility **THAT IS** damaged by the
18 homeowner or homeowners' association pursuant to this section if the
19 damaged underground facility is not buried or placed below ground in
20 accordance with the applicable standards, if the underground facility is
21 not located within the easement or if the homeowner or homeowners'
22 association engaged in the excavation has complied with section 40-360.22.
23 This subsection does not apply to any person **WHO IS** employed by a
24 homeowner or a homeowners' association including a contractor licensed
25 pursuant to title 32, chapter 10 or a person **engaging WHO ENGAGES** in
26 contracting without a license as prohibited by section 32-1151.

27 C. Notwithstanding any other provision in this article, a homeowner
28 is not liable for any costs or expenses, including damage to third
29 parties, resulting from damage to an underground facility **THAT IS** owned by
30 the homeowner but located within a public right-of-way if the damage was
31 not caused by the homeowner's actions or by the homeowner's refusal to
32 grant permission to the underground facilities operator of a sewer system
33 to access the real property for the purpose of ascertaining the location
34 of the underground sewer facility. A tenant is not liable for any costs
35 or expenses, including damage to third parties, resulting from damage to
36 an underground facility **THAT IS** owned by the tenant but located within a
37 mobile home park if the damage was not caused by the tenant's actions or
38 by the tenant's refusal to grant permission to the landlord to access the
39 mobile home for the purpose of ascertaining the location of the
40 underground facility.

41 D. **AN EXCAVATOR THAT COMPLIES WITH AN AGREED LARGE PROJECT SCHEDULE**
42 **PURSUANT TO SECTION 40-360.22 AND THAT USES THE INTERACTIVE POSITIVE**
43 **RESPONSE SYSTEM FOR ALL COMMUNICATIONS REQUIRED UNDER THIS ARTICLE IS**
44 **DEEMED TO HAVE SATISFIED THE EXCAVATOR'S DUTY TO REQUEST AND MAINTAIN**
45 **MARKINGS UNDER THIS ARTICLE FOR THE PORTION OF THE PROJECT COVERED BY THE**
46 **LARGE PROJECT SCHEDULE.**

1 Sec. 5. Section 40-360.28, Arizona Revised Statutes, is amended to
2 read:

3 40-360.28. Civil penalty; liability

4 A. Except as provided in section 40-360.22, subsection M, a person
5 who violates any provision of this article is subject to a civil penalty
6 in an amount ~~OF not to exceed five thousand dollars~~ MORE THAN \$5,000 to be
7 imposed by the court in favor of the state. Any penalties received by the
8 state shall be deposited in the state general fund.

9 B. If a violation of this article results in damage to an
10 underground facility, the violator is liable to all affected underground
11 facilities operators and excavators for all resulting damages proximately
12 caused by the violations, including economic loss.

13 C. If a person violates this article by failing to provide timely
14 notice as required by this article, by failing to respond in the time and
15 manner provided by this article or by failing to locate and mark an
16 underground facility in the manner provided by this article, the person is
17 liable to all affected underground facilities operators and excavators for
18 all damages proximately caused by the violation, including economic loss.

19 D. Notwithstanding any other law, a violation of section 40-360.22,
20 subsection D or subsection L, paragraph 3 is a superseding event that
21 breaks the chain of causation for any damages that could result from an
22 underground facilities operator's failure to accurately locate or mark an
23 underground facility.

24 E. If a landlord or an excavator complies with the duties set forth
25 in sections 40-360.22, 40-360.30 and 40-360.32 for all facilities operated
26 by a landlord as provided in section 40-360.22, subsection P, paragraph 1,
27 the person is not liable for any death or injury to persons or property or
28 for any economic loss to any person to the extent the conduct is regulated
29 by this article. This section does not excuse any landlord or excavator
30 from liability for any death or injury to persons or property or for any
31 economic loss to any person to the extent the injury or loss does not
32 arise from the conduct regulated by this article.

33 F. This section ~~is not applicable~~ DOES NOT APPLY to an excavation
34 made:

35 1. During an emergency ~~which~~ THAT involves IMMEDIATE danger to
36 life, health or property if reasonable precautions are taken to protect
37 underground facilities.

38 2. In agricultural operations or for the purpose of finding or
39 extracting natural resources.

40 3. With hand tools on property owned or occupied by the person
41 performing the excavation while gardening or tilling such property.

42 G. AN UNDERGROUND FACILITIES OPERATOR OR AN EXCAVATOR MAY BE
43 SUBJECT TO A CIVIL PENALTY AS PROVIDED BY THIS SECTION IF THE UNDERGROUND
44 FACILITIES OPERATOR OR THE EXCAVATOR FAILS:

